



HEMANT CHAWLA

recognises what he gets directly; does not recognise what he has to pay indirectly. Some people are a little bit more *aam* than the others. The rich farmer is more *aam* than the poor agricultural labourer. The government employee, and I am referring to the urban government employees is a little bit more *aam* than the rest of India.

Then there are certain geographical parts of India which are a little bit more *aam* than the rest, namely Bihar, Uttar Pradesh, Maharashtra—those kinds of places, even Andhra Pradesh. I think these are the underlying strengths across all the budgets.

Bank loans of farmers.

WILL THE WAIVER WORK?

Dev: I do not think it will benefit many farmers for the following reasons. It raises more questions than answers. We have about 11 crore farmers. Out of that, only 23 or 22.7 per cent have access to institutional credit. So, the problem of indebtedness will not be solved because out of 11 crore farmers—he said four crore, I do not know how the number came—two crores or something may benefit.

Chawla: Do you say that the Rs 60,000 crore waiver is meant more to help banks rather than farmers?

Dev: Looks like that.

Shah: Depends on what you see the problem as.

Chawla: It's the problem of agricultural indebtedness.

Shah: I thought the problem was how to win the elections.

Chawla: What will it take to make agricultural production sustainable?

Dev: The problem with agriculture is that there has been deceleration since the mid-1990s. The yield gap is because of technology. Public and private investment is stagnating. Diversification in fruits and vegetables is stagnating; fertiliser consumption is also stagnating. One has to address these problems rather than facing individual indebtedness.

Chawla: Five budgets of Mr Chidambaram have not addressed the farm sector. Have they made a dent?

“Welfare programmes neither work nor get votes. They are desperately trying to use public money to win elections.”

AJAY SHAH, SENIOR FELLOW, NIPFP

Bery: The Left and the Congress were quick to brand a narrative in the last election that India Shining had not worked; reforms had not worked. That was a big political mistake as the Congress could have taken credit for reforms. But the Government's focus on agriculture is nothing new. It has been a theme through the budgets and has been a theme in the Eleventh Plan as well. At the same time I do not think the loan waiver is going to solve the indebtedness problem. It will create a huge kind of moral hazard issue.

Roy: This will not solve the problem. But certain selected areas would benefit and the politicians coming out of those selected areas will benefit.

Where is the BANG FOR THE BUCK?

Chawla: Has this whole social spend across four-five years delivered anything?

Shah: Years from now we will remember this as the biggest mistake of the UPA Government. It is difficult to rein in these Frankensteins once they are created. You look back at the mistakes of the past whether it is EPFO, whether it is fertiliser subsidy, whether it is PDS. Once these things are created, they get a life of their own. It is very difficult to fix them.

Bery: My criticism would be on how little has been done to really get at the delivery mechanism.

“One has to address rural infrastructure rather than individual indebtedness. Invest in technology and agricultural inputs.”

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